Candidate Number……....

THE PRESIDENT'S OFFICE – RALG

NYANZA ADVENTIST SECONDARY SCHOOL

FORM FOUR PREMOCK 1 EXAMINATION

061 **COMMERCE**

TIME: 2:30 Hours **April: 2025**

Instructions

1. This paper consists of **10** questions in sections **A, B** and **C**
2. Answer all questions in section **A** and **B**, and only **two** questions in section **C**.
3. Non programmable calculator maybe used in the examination room
4. Cellular phones and any unauthorized materials are not allowed in examination room
5. Write your examination number on every page of your answer booklet(s)

FOR ASSESSOR'S ONLY		
QUESTION NUMBER	**SCORE**	**MARKER'S INITIALS**
1		
2		
3		
4		
5		
6		
7		
8		
9		
10		
TOTAL		
CHEKER'S INITIALS		

SECTION A (15 Marks)
Answer all questions in this section

1. For each of the items (i)- (x), choose the correct answer from among the given alternatives and write its letter beside the item number in the answer sheet provided

   i. The importer after storing his goods in a warehouse he supposed to fill document, which is the name of that document
   A. Way bill
   B. Warehouse release warrant
   C. In bond note
   D. Charter

   ii. Some goods are used for different purpose
   A. Derived demand
   B. Competitive demand
   C. Composite demand
   D. Complementary demand

   iii. In which kind of utility can cotton be shifted from extraction point to manufactures point?
   A. Time utility
   B. Possession utility
   C. Place utility
   D. Form utility

   iv. Find elasticity of demand given that when the price of a commodity is Tshs 4 the quantity demanded is 10 units, when the price increase to Tshs 8 quantity demand decrease to 8 units
   A. 0.3
   B. 0.4
   C. 0.2
   D. 0.5

   v. Which of the following method would Tanzania adopt if she wants completely to restrict importation of rice from Japan?
   A. Imposing heavy import duties
   B. Total ban
   C. Fixing import quotas
   D. Provision of customs drawbacks

   vi. Maluma is a large scale retailer who wants to identify the fast moving goods in his business. Which stock calculation will Maluma apply to arrive at the correct identification?
   A. Average stock
   B. Rate of stock turn
   C. Cost of goods sold
   D. Order point

   vii. A term used to cover all the activities necessary in bringing goods and services into the market for exchange is
   A. Warehouse
   B. Transportation
   C. Marketing
   D. Advertising

   viii. "A manager should have the right to punish a subordinate for willfully not obeying a legitimate order but only after sufficient opportunity has been given to the subordinate to present defense about the case" Which principle is being reflected?
   A. Authority and responsibility
   B. Division of work
   C. Unit of command
   D. Discipline

   ix. Suppose the tax authority collects tax from citizens who do not know how much to pay, where to pay, and how to pay. Which principle of taxation is the authority violating?
   A. Convenience
   B. Equity
   C. Certainty
   D. Flexibility

x. The process of influencing others to understand and agree on what need to be done and how to do it

A. Leadership
B. Organization
C. Planning
D. Staffing

xi. By which principle can an insured be returned to his/her original financial position?

A. Proximate cause
B. Underwriting
C. Subrogation
D. Indemnity

xii. All the following are functions of a central bank except

A. Issued of currency
B. Control of money supply
C. Provision of loans to businessmen
D. Lender of last resort

xiii. The driving force behind successful entrepreneurs

A. Passion
B. Goal
C. Goods
D. Learn from other

xiv. Mama Leah bears all risks in her business, but she has not taken any measure to prevent risks and no insurance has been taken to protect her business. Which way of managing risks Mama Leah's approach falls in among the following;

A. Transfer of risks
B. Accepting risks
C. Reducing risks
D. Preventing of risks

xv. This is the tax which is levied on one's income mostly for the employed wages or salary earners

A. Pay as you earn tax
B. Graduate tax
C. Corporation taxes
D. Property tax

2. Match the descriptions of the forms of trade in column A with their corresponding names in column B by writing the letter of the correct response beside the item number in the answer book provided.

COLUMN A	**COLUMN B**
i. It provides information to the management	A. Issuing of stock
ii. This involves taking delivery of goods from the supplier	B. Care of stock
iii. This involves releasing sold stock to the customers	C. Stock taking
iv. This involves keeping in good order at a right place	D. Stock valuation
v. This is the process finding the value of stock held at specific period of time	E. Receiving
	F. Warehouse
	G. Stock control

SECTION B (50 marks)

Answer all questions from this section

3. (a) What is taxation?

   (b) What are the effects of taxation on the following?

   i. Saving
   ii. Inflation
   iii. Production
   iv. Ability to work

4. There is one country which is land lock country that country needs to transfer large amount of oil from abroad via to Tanzania. Mention kind of transport she will be going to use and discuss 3 merits and 3 demerits of that transport.
5. Ms. Magreth has decided to start a poultry project which will cost 50,000,000. She decided to get a loan from CRDB bank. What factors will the bank manager take into account before granting a loan? Defend by giving out five (5) factors.
6. In our daily life we cannot live without to communicate with other people, therefore it involves very important element, with the aid of diagram explain these elements.
7. The members of Parliament of Mbuni country argued that, being isolated from other countries is an advantage as it omits overdependence and depression. As an expert in commerce, basing on the merits of international trade, explain to them on why should international trade be applied by countries? Give five points.

SECTION C (30 MARKS)

Answer any two questions from this section.

8. Most of young aged in the society complain that they cannot find opportunities for the sake of employing them self. You as commerce learned can you advise them how they can find opportunities in the country. (5 ways)
9. Mr. Roga is straggling to start business in Dodoma City, he is very much motivated to start business as he find large number of people from different regions in the country move to the capital city, to him is a big opportunity. He has identify six potential business which he is capable of dealing with, however Capital is a big problem to him, as an expert advise him on how to get rid to his problem.
10. Suppose your mother has imported a car from Japan and she wants to buy an insurance policy for the car. Briefly explain to her the general procedures for obtaining insurance policy for the car.